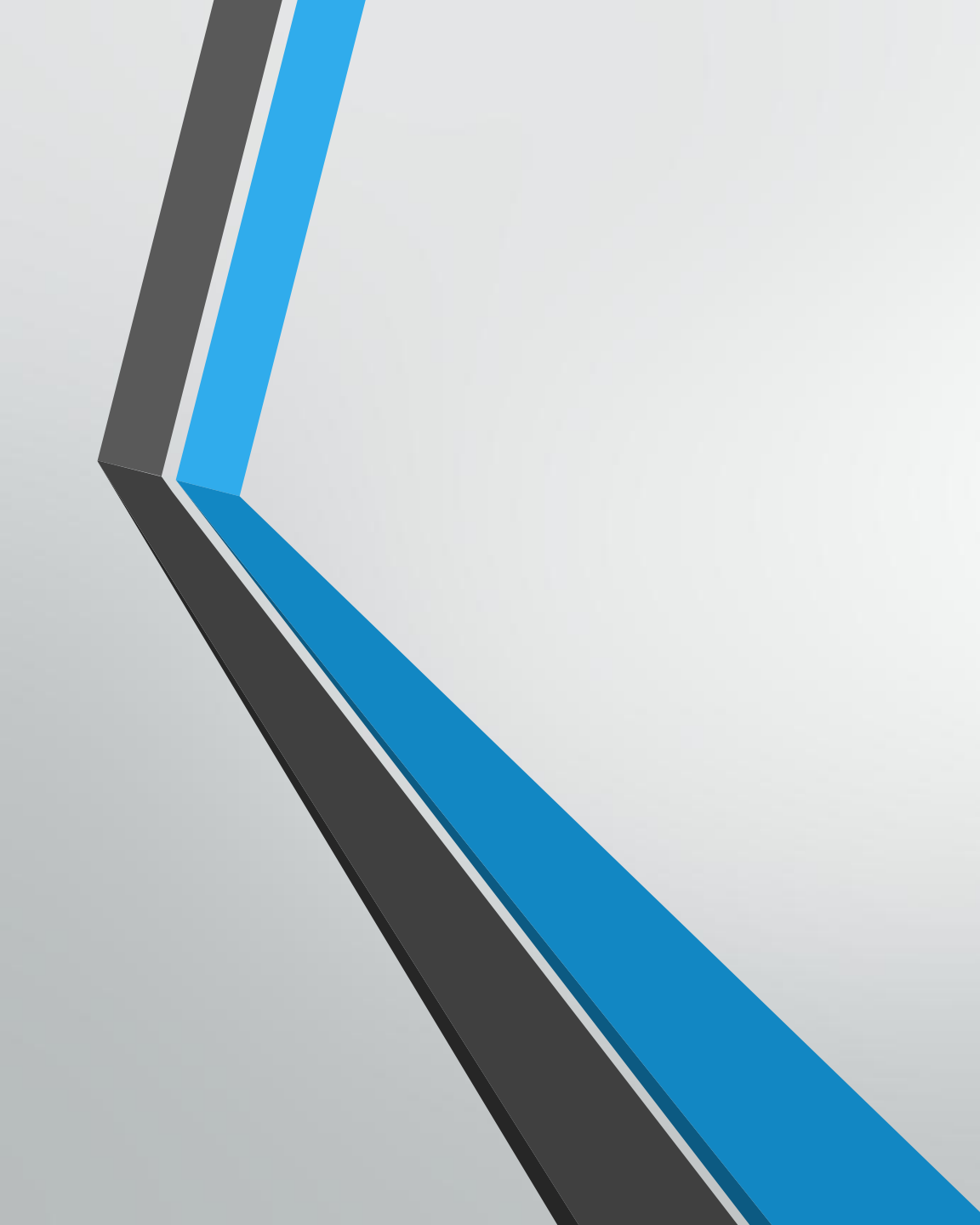




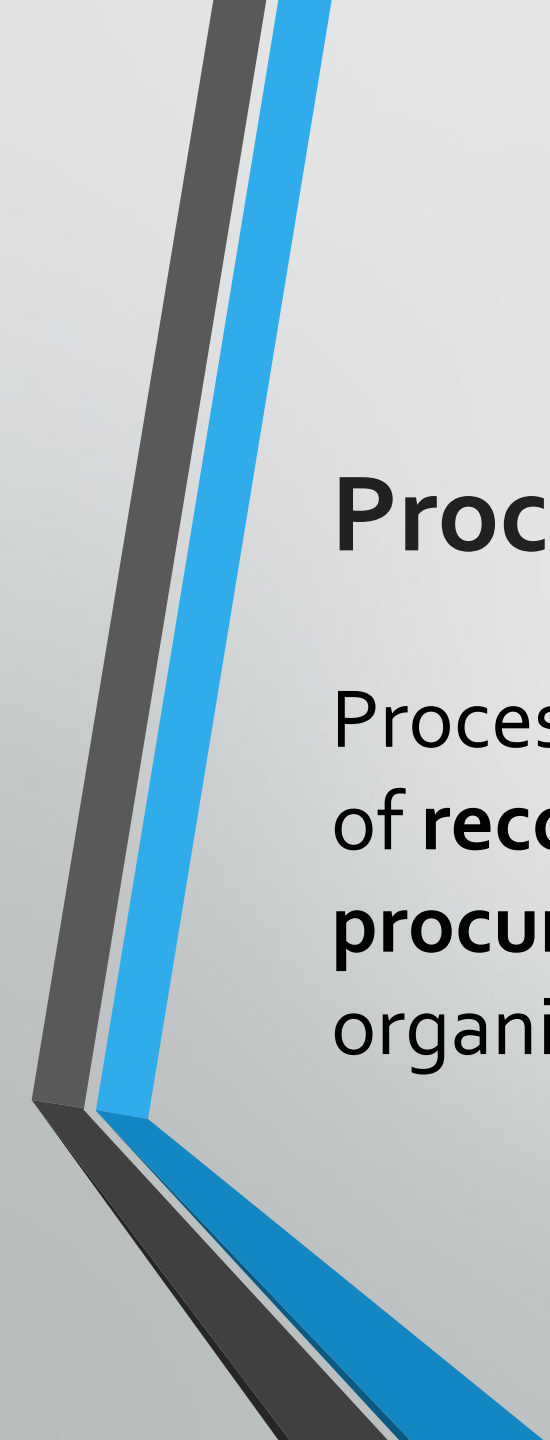
IT Procurement Management

IS4105- Lecture 03

Presenter- PKDK Kaushalya

Procurement Process



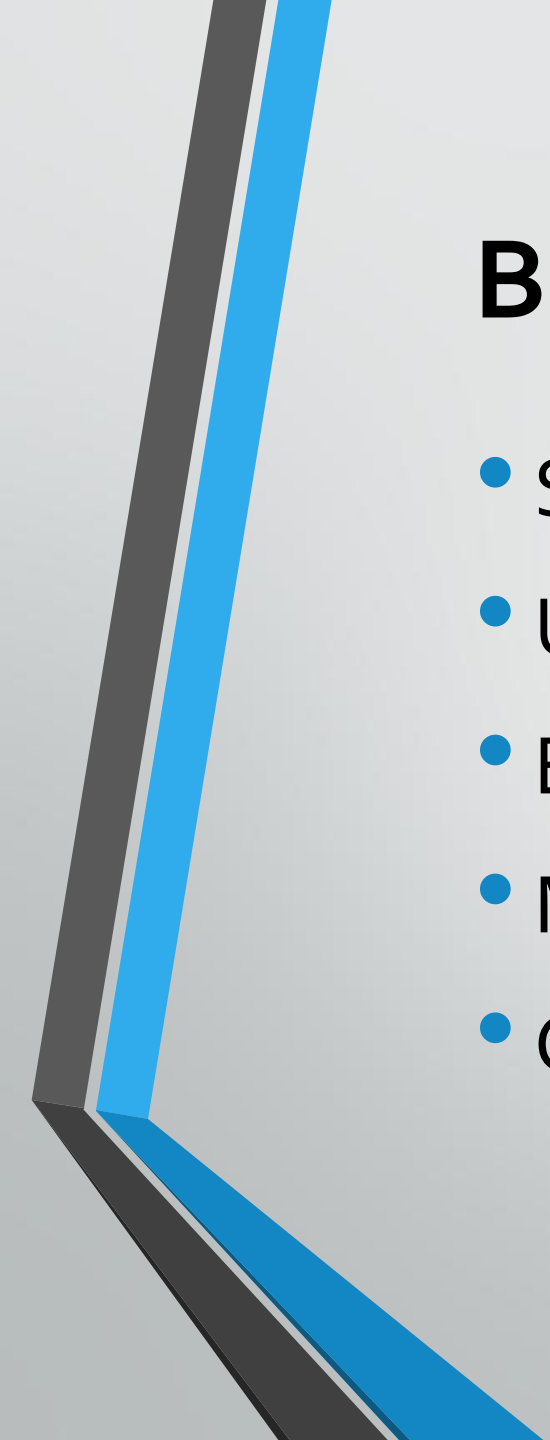


Process Identification

Process Identification is the systematic approach of **recognizing, defining, and documenting procurement-related activities** within an organization.

Process Stage	Description	Key Activities	Responsible Parties	Documents / Outputs	Potential Issues
Need Identification	Identifying the requirement for goods/services	Identify need, justify requirement	Department staff / End users	Requirement details, request note	Unclear needs, over/under estimation
Requisition Process	Formal internal request for procurement	Prepare and approve purchase requisition	Department head, Finance approval	Purchase Requisition (PR)	Delays in approvals, incomplete forms
Supplier Identification & Evaluation	Finding and assessing suppliers	Vendor search, evaluation, comparison	Procurement team	Supplier list, evaluation reports	Limited vendors, biased selection
Tendering / Quotation Process	Inviting and collecting supplier bids	Issue RFQ/RFP, receive quotations	Procurement team	Quotations, tender documents	Lack of transparency, low competition

Process Stage	Description	Key Activities	Responsible Parties	Documents / Outputs	Potential Issues
Purchase Order (PO) Creation	Order placement with selected supplier	Prepare and send PO	Procurement department	Purchase Order (PO)	Errors in order details
Receiving & Inspection	Checking delivered goods/services	Verify quantity and quality	Stores / Technical team	Goods Received Note (GRN)	Damaged/incorrect items
Invoice Processing	Matching invoice with PO and delivery	Invoice verification, approval	Finance department	Verified invoice	Mismatched documents
Payment Processing	Paying the supplier	Approve and process payment	Finance department	Payment voucher, receipt	Delays, incorrect payments



Best Practices

- Standardize procurement procedures
- Use digital tools (ERP, e-procurement systems)
- Ensure clear roles and responsibilities
- Maintain transparency and audit trails
- Continuously review and improve processes